

from promoters seemed to have become institutionalized. Promoters appeared unfazed by market talk linking them to operators.

There were some other unhealthy developments too. I learnt from my friends that quite a few politicians were becoming active in the market, picking up stakes in shady companies through 'fronts'. Earlier, politicians were content with a fixed pay-off from promoters in return for policy favours. But having realized that there was more money to be made as 'equity partners', many of them had decided to tweak their 'business models'.

Forever in search of the best performing markets, FIIs had stepped up their investments in Indian equities in 1999. Many of them chose to route money through investment companies registered in Mauritius. The Double Taxation Avoidance Agreement (DTAA) India had signed with the island nation in the early 1980s allowed for Mauritius-based entities to pay capital gains tax at Mauritius rates and not India rates. As Mauritius did not tax capital gains, the FIIs did not have to pay any taxes on their capital gains in Indian stocks.

Given that the rules allowed for it, there was nothing wrong in what they were doing. But the overwhelming majority of the so-called investment companies claiming to be based in Mauritius were nothing more than 'post box' companies. They merely had a postal address. Their funny business did not end there. For a juicy fee, many FIIs were willing to open what was called a 'sub-account' for Indian promoters and market operators.

On paper, a sub-account was meant to be a scheme managed by the FII for foreign individuals or foreign corporations wanting to invest in India. Sub-accounts could not invest directly in India; they had to do so through an FII registered with SEBI. There were also entities called overseas corporate bodies (OCBs), which were overseas corporations, partnership firms or trusts with non-resident Indian ownership of at least 60 per cent.

At that time, disclosure requirements for sub-accounts and OCBs were pretty lax. As a result the identity of their actual owners was a mystery. In most cases, the owners were the promoters and operators controlling these vehicles, directing the FII on what to buy and sell. But the market had no idea about this. Routing purchases through sub-accounts and OCBs had an added advantage; it would improve sentiment for the stock because of the illusion that an FII was buying the stock.